TEACHER GUIDE

Cambridge International AS & A Level Business (9609)

Financial ratios



10 Finance and accounting (A Level)
10.2 Analysis of published accounts · 10.2.1 Liquidity ratios; 10.2.2 Profitability ratios

A revision lesson. Pupils run a car dealership in firms of four and revise financial ratios on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Current ratio

Round 1

Can they pay their bills?

Current ratio? Type the number before ":1".

Current assets	**£60,000**
Owed to suppliers	**£9,200**
Bank overdraft	**£5,800**

ANSWER

£4

£9,200 + £5,800 = £15,000;
£60,000 ÷ £15,000 = 4 : 1

Why: They hold £4 of assets for every £1 they owe soon.

2 Raise current ratio

Round 1

Your current ratio is 0.8.

Which two actions would raise it?

- **A** Buy computers on the overdraft
- **B** Sell an unused building for cash
- **C** Use cash to buy a new ramp
- **D** Pay suppliers with cash
- **E** Swap the overdraft for a 5-year loan

ANSWER

✓ Sell an unused building for cash
✓ Swap the overdraft for a 5-year loan

Why: Raise current assets or cut current liabilities, without the other moving.

3 Rank current ratio

Round 2

Three dealers: current assets and current liabilities.

Order by current ratio, lowest first?

- **A** £45,000 assets, £50,000 debts
- **B** £120,000 assets, £60,000 debts
- **C** £60,000 assets, £40,000 debts

ANSWER

1. **£45,000 assets, £50,000 debts**
2. **£60,000 assets, £40,000 debts**
3. **£120,000 assets, £60,000 debts**

Why: Ratios 0.9, 1.5 and 2.0.

Topic tasks

4 Net profit margin

Round 2

Last year's accounts.

Net profit margin, as a %?

Sales	**£120,000**
Cost of cars sold	**£100,800**
Overheads	**£12,000**

ANSWER

6%

£120,000 − £100,800 − £12,000 = £7,200; ÷ £120,000 = 6%

Why: Net profit is what is left after the cars and the overheads.

5 High current ratio

Round 3

Your current ratio is 3.5. Most of the current assets are cars that have not sold.

What should you do, and why?

A Cut the stock you hold

B Leave it as it is

ANSWER

✓ Cut the stock you hold

Why: Unsold stock ties up cash that could earn more elsewhere.

6 ROCE as a %

Round 3

Last year's accounts.

ROCE, as a %?

Operating profit	**£16,320**
Share capital	**£122,400**
Retained profit	**£40,800**
Non-current liabilities	**£40,800**

ANSWER

8%

£122,400 + £40,800 + £40,800 = £204,000; £16,320 ÷ £204,000 × 100 = 8%

Why: Every £1 of capital employed earned 8p of operating profit.

Final questions

Each pupil answers 6 final questions on financial ratios. They come from these 8 questions.

1. A campaign produces £160,000 revenue and attributable gross profit of £56,000. What is its attributable gross profit margin?
   ✔ **35%**

2. A dealer has current assets of £180,000 and current liabilities of £225,000. What is its current ratio, and what does it show?
   ✔ **0.8 to 1: short-term debts exceed the assets to meet them**

3. A finance director says the dealer is “liquid enough to get through March”. What does liquidity measure?
   ✔ **Whether short-term debts can be met when due**

4. A dealer’s revenue is £900,000 and cost of sales £648,000. What is the gross profit margin?
   ✔ **28%**

5. A dealer group’s profit before interest and tax is £126,000 and its capital employed £1,050,000. What is return on capital employed?
   ✔ **12%**

6. A parts business has current assets of £300,000 and current liabilities of £240,000. What is its current ratio?
   ✔ **1.25:1**

7. A dealer’s current ratio falls from 1.6:1 to 0.9:1 over the year. What does this suggest?
   ✔ **It may struggle to pay short-term debts**

8. A dealer’s revenue rises but its gross profit margin falls. Which is the most likely cause?
   ✔ **Cars were bought at higher prices than before**